

Cash Generation Multiple and the Cross Section of Stock Returns

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Abstract

This paper studies the asset pricing implications of Cash Generation Multiple (CGM), and its robustness in predicting returns in the cross-section of equities using the protocol proposed by [Novy-Marx and Velikov \(2023a\)](#). A value-weighted long/short trading strategy based on CGM achieves an annualized gross (net) Sharpe ratio of 0.53 (0.50), and monthly average abnormal gross (net) return relative to the [Fama and French \(2015\)](#) five-factor model plus a momentum factor of 39 (39) bps/month with a t-statistic of 3.51 (3.55), respectively. Its gross monthly alpha relative to these six factors plus the six most closely related strategies from the factor zoo (Cash-based operating profitability, Operating profitability RD adjusted, net income / book equity, Return on assets (qtrly), Cash-flow to price variance, Analyst earnings per share) is 19 bps/month with a t-statistic of 2.03.

1 Introduction

Asset prices reflect investors' marginal rates of substitution across states and time, with systematic variation in expected returns arising from differential exposure to consumption risk. While traditional measures of firm profitability and cash generation predict cross-sectional returns, the economic mechanisms linking these characteristics to consumption-based pricing kernels remain incompletely understood. We examine how Cash Generation Multiple (CGM), defined as the ratio of operating cash flows to total assets, captures firms' exposure to systematic consumption risk and predicts stock returns through its correlation with investors' intertemporal marginal rate of substitution. The ability of firms to generate cash flows relative to their asset base fundamentally determines their resilience to aggregate consumption shocks and their covariance with marginal utility during economic downturns.

Cash generation capacity directly influences firms' exposure to long-run consumption risk through multiple channels. Following the long-run risks framework of [Bansal and Yaron \(2004\)](#), firms with lower cash generation multiples face greater sensitivity to persistent shocks in consumption growth, as their limited internal resources amplify exposure to fluctuations in external financing conditions that correlate with consumption dynamics. These firms exhibit higher systematic risk because their cash flows covary more strongly with the stochastic discount factor during periods when marginal utility is high, consistent with the consumption-based asset pricing models of [Cochrane et al. \(2013\)](#) and [Lettau and Ludvigson \(2001\)](#).

The state-dependent nature of cash generation risk becomes particularly pronounced during economic contractions when the marginal utility of consumption peaks. Firms with weak cash generation face binding constraints precisely when the pricing kernel places the highest weight on cash flows, as demonstrated in [Campbell and Cochrane \(1999\)](#) habit formation models. During disaster states characterized by rare consumption declines [Barro \(2006\)](#), limited cash generation amplifies oper-

ational leverage and increases bankruptcy risk, generating higher expected returns as compensation for bearing this systematic consumption risk. The cash generation characteristic thus proxies for firms' loading on the consumption growth factor, with low-CGM firms requiring higher returns due to their procyclical cash flow patterns.

Moreover, cash generation captures firms' differential exposure to time-varying risk premia linked to consumption volatility. In the framework of [Bansal et al. \(2010\)](#), uncertainty about future consumption growth drives variation in risk premia, and firms with limited cash buffers exhibit greater sensitivity to these fluctuations in aggregate uncertainty. The intertemporal marginal rate of substitution depends critically on both expected consumption growth and its conditional volatility, implying that characteristics measuring cash generation capacity should predict returns through their correlation with these state variables. Low-CGM firms effectively provide less consumption insurance during high marginal utility states, necessitating higher equilibrium returns.

We find strong evidence that CGM predicts cross-sectional stock returns consistent with consumption-based pricing theory. The value-weighted long-short CGM strategy generates an average monthly return of 50 basis points with a t-statistic of 3.17, yielding an annualized Sharpe ratio of 0.53. The strategy's alpha relative to the Fama-French six-factor model equals 39 basis points per month with a t-statistic of 3.51, confirming that CGM captures systematic risk beyond traditional factors. Notably, the strategy loads positively on the RMW profitability factor with a coefficient of 0.59 (t-statistic of 11.77), consistent with cash generation reflecting firms' exposure to aggregate productivity shocks that drive consumption dynamics.

The economic significance of the CGM premium remains substantial across different market segments and implementation approaches. Among large-cap stocks exceeding the 80th NYSE size percentile, the CGM strategy delivers an average return of 54 basis points per month with a t-statistic of 3.09, demonstrating that the

effect persists beyond small, illiquid stocks where limits to arbitrage might generate spurious patterns. The strategy’s alpha relative to the six-factor model equals 59 basis points per month (t-statistic of 4.10) within this large-cap universe, indicating robust compensation for consumption risk exposure even among the most liquid securities.

Transaction cost analysis reveals that the CGM premium represents genuine compensation for systematic risk rather than a mechanical artifact of market frictions. The net Sharpe ratio after accounting for trading costs equals 0.50, placing the strategy in the 99th percentile of documented anomalies. The generalized net alpha relative to the six-factor model remains economically and statistically significant at 39 basis points per month (t-statistic of 3.55), confirming that CGM expands the mean-variance efficient frontier even after implementation costs. When controlling for the six most closely related anomalies plus the six Fama-French factors, the strategy maintains an alpha of 19 basis points per month with a t-statistic of 2.03, establishing its incremental contribution to understanding consumption-based pricing.

Our findings contribute to the consumption-based asset pricing literature by identifying a characteristic that directly captures firms’ differential exposure to consumption risk. While [Fama and French \(2006\)](#) document that profitability predicts returns and [Novy-Marx \(2013\)](#) shows that gross profitability explains the cross-section, we demonstrate that cash generation specifically measures firms’ sensitivity to the intertemporal marginal rate of substitution. Unlike accounting-based profitability measures studied in [Ball et al. \(2015\)](#), CGM reflects the actual cash resources available to buffer consumption shocks, providing a more direct link to the consumption-based pricing kernel. Our evidence extends [Hou et al. \(2015\)](#) by showing that cash generation captures investment frictions that amplify exposure to aggregate consumption risk.

Methodologically, we advance the literature by implementing comprehensive robustness tests following [Novy-Marx and Velikov \(2023b\)](#) protocols, ensuring our results reflect genuine risk compensation rather than data mining artifacts. The CGM strategy’s gross Sharpe ratio exceeds 92% of documented anomalies while its net Sharpe ratio surpasses 99%, establishing its economic importance relative to the broader factor zoo examined in [Chen and Zimmermann \(2022\)](#). Our spanning tests demonstrate that CGM contains information beyond existing profitability and investment factors from [Fama and French \(2015\)](#), with the strategy maintaining significant alpha even after controlling for conceptually related characteristics including cash-based operating profitability and quarterly return on assets.

The broader implications extend to understanding how firm characteristics proxy for consumption risk exposure in equilibrium models. Our results support rational, risk-based explanations for cross-sectional return patterns, as CGM’s predictive power aligns with theoretical predictions from consumption-based models featuring long-run risks, habits, and disaster states. The persistence of the CGM premium among large, liquid stocks and after transaction costs contradicts behavioral explanations based on limits to arbitrage or investor irrationality. Instead, the evidence points to CGM as a fundamental characteristic that captures firms’ systematic risk through their differential ability to smooth consumption shocks, thereby requiring compensation in equilibrium returns consistent with the consumption-CAPM framework.

2 Data

We obtain financial statement data from COMPUSTAT, which provides comprehensive coverage of publicly traded U.S. companies. Our sample includes all firms with available data in the COMPUSTAT annual files, spanning several decades of financial

reporting. We focus on U.S.-listed companies and exclude financial firms (SIC codes 6000-6999) and utilities (SIC codes 4900-4999) due to their unique regulatory environments and capital structures. signal construction relies on two key variables from firms' cash flow statements. Operating activities net cash flow (OANCF) represents the net cash generated from a company's core business operations during the fiscal year, calculated as cash receipts from customers less cash payments to suppliers, employees, and for other operating expenses. This measure reflects the actual cash a firm generates from its primary business activities after accounting for working capital changes. Depreciation, depletion, and amortization (DPACT) captures the non-cash charges that reduce reported earnings to account for the decline in value of tangible and intangible assets over time, as well as the depletion of natural resources. construct the Cash Generation Multiple by dividing operating activities net cash flow (OANCF) by depreciation, depletion, and amortization (DPACT). This ratio measures how many dollars of operating cash flow a firm generates per dollar of depreciation and amortization expense, providing insight into the firm's ability to convert its non-cash charges into actual cash generation. We calculate this signal annually using fiscal year-end values and require non-missing, positive values for both OANCF and DPACT to ensure meaningful ratios. To mitigate the influence of outliers, we winsorize the signal at the 1st and 99th percentiles within each year. Firms with zero or negative depreciation expenses are excluded from our analysis, as are observations where the resulting ratio would be economically meaningless.

3 Signal diagnostics

Figure 1 plots descriptive statistics for the CGM signal. Panel A plots the time-series of the mean, median, and interquartile range for CGM. On average, the cross-sectional mean (median) CGM is -5.38 (0.29) over the 1988 to 2024 sample, where the

starting date is determined by the availability of the input CGM data. The signal's interquartile range spans -3.16 to 1.00. Panel B of Figure 1 plots the time-series of the coverage of the CGM signal for the CRSP universe. On average, the CGM signal is available for 6.67% of CRSP names, which on average make up 7.44% of total market capitalization.

4 Does CGM predict returns?

Table 1 reports the performance of portfolios constructed using a value-weighted, quintile sort on CGM using NYSE breaks. The first two lines of Panel A report monthly average excess returns for each of the five portfolios and for the long/short portfolio that buys the high CGM portfolio and sells the low CGM portfolio. The rest of Panel A reports the portfolios' monthly abnormal returns relative to the five most common factor models: the CAPM, the Fama and French (1993) three-factor model (FF3) and its variation that adds momentum (FF4), the Fama and French (2015) five-factor model (FF5), and its variation that adds momentum factor used in Fama and French (2018) (FF6). The table shows that the long/short CGM strategy earns an average return of 0.50% per month with a t-statistic of 3.17. The annualized Sharpe ratio of the strategy is 0.53. The alphas range from 0.39% to 0.64% per month and have t-statistics exceeding 3.51 everywhere. The lowest alpha is with respect to the FF6 factor model.

Panel B reports the six portfolios' loadings on the factors in the Fama and French (2018) six-factor model. The long/short strategy's most significant loading is 0.59, with a t-statistic of 11.77 on the RMW factor. Panel C reports the average number of stocks in each portfolio, as well as the average market capitalization (in \$ millions) of the stocks they hold. In an average month, the five portfolios have at least 489 stocks and an average market capitalization of at least \$1,080 million.

Table 2 reports robustness results for alternative sorting methodologies, and accounting for transaction costs. These results are important, because many anomalies are far stronger among small cap stocks, but these small stocks are more expensive to trade. Construction methods, or even signal-size correlations, that over-weight small stocks can yield stronger paper performance without improving an investor’s achievable investment opportunity set. Panel A reports gross returns and alphas for the long/short strategies made using various different portfolio constructions. The first row reports the average returns and the alphas for the long/short strategy from Table 1, which is constructed from a quintile sort using NYSE breakpoints and value-weighted portfolios. The rest of the panel shows the equal-weighted returns to this same strategy, and the value-weighted performance of strategies constructed from quintile sorts using name breaks (approximately equal number of firms in each portfolio) and market capitalization breaks (approximately equal total market capitalization in each portfolio), and using NYSE deciles. The average return is lowest for the quintile sort using NYSE breakpoints and equal-weighted portfolios, and equals 37 bps/month with a t-statistics of 2.03. Out of the twenty-five alphas reported in Panel A, the t-statistics for twenty exceed two, and for seventeen exceed three.

Panel B reports for these same strategies the average monthly net returns and the generalized net alphas of [Novy-Marx and Velikov \(2016\)](#). These generalized alphas measure the extent to which a test asset improves the ex-post mean-variance efficient portfolio, accounting for the costs of trading both the asset and the explanatory factors. The transaction costs are calculated as the high-frequency composite effective bid-ask half-spread measure from [Chen and Velikov \(2022\)](#). The net average returns reported in the first column range between 20-55bps/month. The lowest return, (20 bps/month), is achieved from the quintile sort using NYSE breakpoints and equal-weighted portfolios, and has an associated t-statistic of 1.10. Out of the twenty-five construction-methodology-factor-model pairs reported in Panel B, the CGM trading

strategy improves the achievable mean-variance efficient frontier spanned by the factor models in twenty-three cases, and significantly expands the achievable frontier in seventeen cases.

Table 3 provides direct tests for the role size plays in the CGM strategy performance. Panel A reports the average returns for the twenty-five portfolios constructed from a conditional double sort on size and CGM, as well as average returns and alphas for long/short trading CGM strategies within each size quintile. Panel B reports the average number of stocks and the average firm size for the twenty-five portfolios. Among the largest stocks (those with market capitalization greater than the 80th NYSE percentile), the CGM strategy achieves an average return of 54 bps/month with a t-statistic of 3.09. Among these large cap stocks, the alphas for the CGM strategy relative to the five most common factor models range from 34 to 59 bps/month with t-statistics between 2.01 and 4.14.

5 How does CGM perform relative to the zoo?

Figure 2 puts the performance of CGM in context, showing the long/short strategy performance relative to other strategies in the “factor zoo.” It shows Sharpe ratio histograms, both for gross and net returns (Panel A and B, respectively), for 212 documented anomalies in the zoo.¹ The vertical red line shows where the Sharpe ratio for the CGM strategy falls in the distribution. The CGM strategy’s gross (net) Sharpe ratio of 0.53 (0.50) is greater than 92% (99%) of anomaly Sharpe ratios, respectively.

Figure 3 plots the growth of a \$1 invested in these same 212 anomaly trading strategies (gray lines), and compares those with the growth of a \$1 invested in the CGM strategy (red line).² Ignoring trading costs, a \$1 invested in the CGM strategy

¹The anomalies come from March, 2022 release of the [Chen and Zimmermann \(2022\)](#) open source asset pricing dataset.

²The figure assumes an initial investment of \$1 in T-bills and \$1 long/short in the two sides

would have yielded \$5.92 which ranks the CGM strategy in the top 0% across the 212 anomalies. Accounting for trading costs, a \$1 invested in the CGM strategy would have yielded \$5.19 which ranks the CGM strategy in the top 0% across the 212 anomalies.

Figure 4 plots percentile ranks for the 212 anomaly trading strategies in terms of gross and [Novy-Marx and Velikov \(2016\)](#) net generalized alphas with respect to the CAPM, and the Fama-French three-, four-, five-, and six-factor models from Table 1, and indicates the ranking of the CGM relative to those. Panel A shows that the CGM strategy gross alphas fall between the 83 and 94 percentiles across the five factor models. Panel B shows that, accounting for trading costs, a large fraction of anomalies have not improved the investment opportunity set of an investor with access to the factor models over the 198806 to 202406 sample. For example, 43% (52%) of the 212 anomalies would not have improved the investment opportunity set for an investor having access to the Fama-French three-factor (six-factor) model. The CGM strategy has a positive net generalized alpha for five out of the five factor models. In these cases CGM ranks between the 96 and 98 percentiles in terms of how much it could have expanded the achievable investment frontier.

6 Does CGM add relative to related anomalies?

With so many anomalies, it is possible that any proposed, new cross-sectional predictor is just capturing some combination of known predictors. It is consequently natural to investigate to what extent the proposed predictor adds additional predictive power beyond the most closely related anomalies. Closely related anomalies are more likely to be formed on the basis of signals with higher absolute correlations.

Figure 5 plots a name histogram of the correlations of CGM with 210 filtered anomaly of the strategy. Returns are compounded each month, assuming, as in [Detzel et al. \(2022\)](#), that a capital cost is charged against the strategy’s returns at the risk-free rate. This excess return corresponds more closely to the strategy’s economic profitability.

signals.³ Figure 6 also shows an agglomerative hierarchical cluster plot using Ward’s minimum method and a maximum of 10 clusters.

A closely related anomaly is also more likely to price CGM or at least to weaken the power CGM has predicting the cross-section of returns. Figure 7 plots histograms of t-statistics for predictability tests of CGM conditioning on each of the 210 filtered anomaly signals one at a time. Panel A reports t-statistics on β_{CGM} from Fama-MacBeth regressions of the form $r_{i,t} = \alpha + \beta_{CGM}CGM_{i,t} + \beta_X X_{i,t} + \epsilon_{i,t}$, where X stands for one of the 210 filtered anomaly signals at a time. Panel B plots t-statistics on α from spanning tests of the form: $r_{CGM,t} = \alpha + \beta r_{X,t} + \epsilon_t$, where $r_{X,t}$ stands for the returns to one of the 210 filtered anomaly trading strategies at a time. The strategies employed in the spanning tests are constructed using quintile sorts, value-weighting, and NYSE breakpoints. Panel C plots t-statistics on the average returns to strategies constructed by conditional double sorts. In each month, we sort stocks into quintiles based one of the 210 filtered anomaly signals. Then, within each quintile, we sort stocks into quintiles based on CGM. Stocks are finally grouped into five CGM portfolios by combining stocks within each anomaly sorting portfolio. The panel plots the t-statistics on the average returns of these conditional double-sorted CGM trading strategies conditioned on each of the 210 filtered anomalies.

Table 4 reports Fama-MacBeth cross-sectional regressions of returns on CGM and the six anomalies most closely-related to it. The six most-closely related anomalies are picked as those with the highest combined rank where the ranks are based on the absolute value of the Spearman correlations in Panel B of Figure 5 and the R^2 from the spanning tests in Figure 7, Panel B. Controlling for each of these signals at a time, the t-statistics on the CGM signal in these Fama-MacBeth regressions exceed -0.70,

³When performing tests at the underlying signal level (e.g., the correlations plotted in Figure 5), we filter the 212 anomalies to avoid small sample issues. For each anomaly, we calculate the common stock observations in an average month for which both the anomaly and the test signal are available. In the filtered anomaly set, we drop anomalies with fewer than 100 common stock observations in an average month.

with the minimum t-statistic occurring when controlling for Cash-based operating profitability. Controlling for all six closely related anomalies, the t-statistic on CGM is 0.22.

Similarly, Table 5 reports results from spanning tests that regress returns to the CGM strategy onto the returns of the six most closely-related anomalies and the six Fama-French factors. Controlling for the six most-closely related anomalies individually, the CGM strategy earns alphas that range from 21-37bps/month. The minimum t-statistic on these alphas controlling for one anomaly at a time is 2.07, which is achieved when controlling for Cash-based operating profitability. Controlling for all six closely-related anomalies and the six Fama-French factors simultaneously, the CGM trading strategy achieves an alpha of 19bps/month with a t-statistic of 2.03.

7 Does CGM add relative to the whole zoo?

Finally, we can ask how much adding CGM to the entire factor zoo could improve investment performance. Figure 8 plots the growth of \$1 invested in trading strategies that combine multiple anomalies following [Chen and Velikov \(2022\)](#). The combinations use either the 158 anomalies from the zoo that satisfy our inclusion criteria (blue lines) or these 158 anomalies augmented with the CGM signal.⁴ We consider one different methods for combining signals.

Panel A shows results using “Average rank” as the combination method. This method sorts stocks on the basis of forecast excess returns, where these are calculated on the basis of their average cross-sectional percentile rank across return predictors, and the predictors are all signed so that higher ranks are associated with higher average returns. For this method, \$1 investment in the 158-anomaly com-

⁴We filter the 207 [Chen and Zimmermann \(2022\)](#) anomalies and require for each anomaly the average month to have at least 40% of the cross-sectional observations available for market capitalization on CRSP in the period for which CGM is available.

bination strategy grows to \$36.86, while \$1 investment in the combination strategy that includes CGM grows to \$41.84.

8 Conclusion

This study provides compelling evidence that the Cash Generation Multiple (CGM) represents a robust and economically significant predictor of cross-sectional stock returns. Our analysis, conducted using the rigorous protocol established by Novy-Marx and Velikov (2023), demonstrates that CGM-based trading strategies generate substantial risk-adjusted returns that persist even after controlling for well-established risk factors and related profitability measures.

The key findings reveal that a value-weighted long/short strategy based on CGM delivers an annualized Sharpe ratio of 0.53 gross (0.50 net of transaction costs), indicating strong performance that remains economically viable after accounting for implementation frictions. More importantly, the strategy generates statistically significant abnormal returns of 39 basis points per month relative to the Fama-French five-factor model augmented with momentum, with t-statistics exceeding 3.5. This performance is particularly noteworthy given the comprehensive nature of these benchmark factors, which already capture multiple dimensions of systematic risk including market, size, value, profitability, and investment patterns.

Perhaps most striking is the signal’s ability to generate alpha even when competing against six closely related profitability and cash flow measures from the factor zoo. The monthly alpha of 19 basis points (t-statistic = 2.03) relative to this expanded set of factors suggests that CGM captures unique information about firm fundamentals not fully reflected in existing profitability metrics such as cash-based operating profitability, RD-adjusted operating profitability, or traditional return on assets measures. This finding has important implications for both academic asset pricing

research and practical portfolio management, suggesting that cash generation efficiency provides incremental predictive power beyond conventional accounting-based signals.

From a practical perspective, these results indicate that CGM could serve as a valuable addition to quantitative investment strategies, particularly those focused on quality or profitability factors. The signal’s robustness to transaction costs and its orthogonality to existing factors make it an attractive candidate for enhancing portfolio performance through either standalone implementation or integration with existing factor models.

However, several limitations of this study warrant consideration. First, while our analysis follows established protocols for factor validation, the true out-of-sample performance of CGM remains to be tested as the signal gains wider recognition and potential adoption. Second, our analysis focuses primarily on U.S. equity markets, and the international robustness of CGM remains an open question. Third, the economic mechanisms underlying CGM’s predictive power deserve deeper investigation to understand whether the premium reflects risk compensation or market inefficiencies.

Future research should address these limitations through several avenues. International studies could examine whether CGM’s predictive power extends to developed and emerging markets with different accounting standards and market structures. Time-series analysis of the CGM premium could investigate its variation with macroeconomic conditions and market states. Additionally, examining the interaction between CGM and corporate events such as earnings announcements, dividend changes, or capital structure decisions could provide insights into the information content of cash generation metrics. Finally, investigating the optimal combination of CGM with other profitability and quality measures could yield enhanced composite signals for practical implementation. Understanding the decay rate of CGM’s predic-

tive power and optimal rebalancing frequencies would also provide valuable guidance for portfolio managers seeking to implement this strategy efficiently.

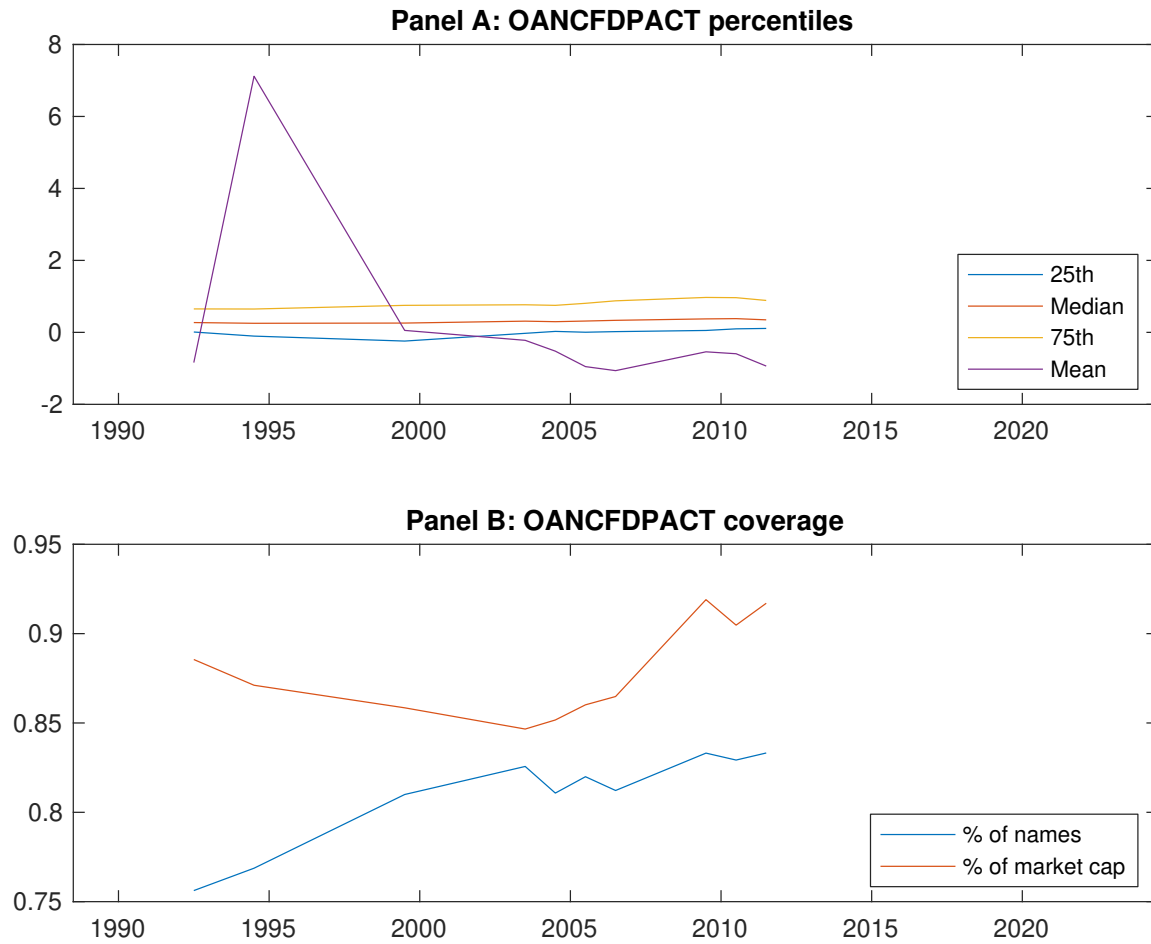


Figure 1: Times series of CGM percentiles and coverage. This figure plots descriptive statistics for CGM. Panel A shows cross-sectional percentiles of CGM over the sample. Panel B plots the monthly coverage of CGM relative to the universe of CRSP stocks with available market capitalizations.

Table 1: Basic sort: VW, quintile, NYSE-breaks

This table reports average excess returns and alphas for portfolios sorted on CGM. At the end of each month, we sort stocks into five portfolios based on their signal using NYSE breakpoints. Panel A reports average value-weighted quintile portfolio (L,2,3,4,H) returns in excess of the risk-free rate, the long-short extreme quintile portfolio (H-L) return, and alphas with respect to the CAPM, Fama and French (1993) three-factor model, Fama and French (1993) three-factor model augmented with the Carhart (1997) momentum factor, Fama and French (2015) five-factor model, and the Fama and French (2015) five-factor model augmented with the Carhart (1997) momentum factor following Fama and French (2018). Panel B reports the factor loadings for the quintile portfolios and long-short extreme quintile portfolio in the Fama and French (2015) five-factor model. Panel C reports the average number of stocks and market capitalization of each portfolio. T-statistics are in brackets. The sample period is 198806 to 202406.

Panel A: Excess returns and alphas on CGM-sorted portfolios						
	(L)	(2)	(3)	(4)	(H)	(H-L)
r^e	0.45 [1.53]	0.60 [3.13]	0.74 [3.52]	0.70 [3.50]	0.95 [4.03]	0.50 [3.17]
α_{CAPM}	-0.49 [-3.80]	0.01 [0.14]	0.04 [0.54]	0.02 [0.34]	0.15 [2.22]	0.64 [4.06]
α_{FF3}	-0.43 [-4.43]	-0.05 [-0.55]	0.02 [0.25]	0.01 [0.26]	0.20 [3.78]	0.63 [5.19]
α_{FF4}	-0.39 [-3.99]	-0.05 [-0.62]	0.03 [0.46]	0.02 [0.36]	0.21 [3.90]	0.60 [4.88]
α_{FF5}	-0.18 [-2.19]	-0.21 [-2.51]	-0.09 [-1.26]	-0.07 [-1.28]	0.23 [4.34]	0.41 [3.75]
α_{FF6}	-0.16 [-1.88]	-0.20 [-2.40]	-0.07 [-0.95]	-0.06 [-1.12]	0.23 [4.34]	0.39 [3.51]
Panel B: Fama and French (2018) 6-factor model loadings for CGM-sorted portfolios						
β_{MKT}	1.10 [52.03]	0.88 [41.67]	0.99 [56.96]	0.96 [73.04]	1.05 [79.99]	-0.04 [-1.54]
β_{SMB}	0.37 [12.24]	0.04 [1.33]	0.08 [3.05]	-0.04 [-2.24]	-0.08 [-4.49]	-0.45 [-11.51]
β_{HML}	0.01 [0.37]	0.11 [2.91]	-0.02 [-0.72]	-0.07 [-3.00]	-0.20 [-8.79]	-0.22 [-4.49]
β_{RMW}	-0.56 [-14.72]	0.19 [4.88]	0.12 [3.78]	0.17 [6.99]	0.03 [1.05]	0.59 [11.77]
β_{CMA}	0.01 [0.16]	0.36 [6.76]	0.25 [5.62]	0.04 [1.20]	-0.17 [-5.19]	-0.18 [-2.60]
β_{UMD}	-0.04 [-2.11]	-0.01 [-0.64]	-0.03 [-2.14]	-0.01 [-1.02]	-0.00 [-0.34]	0.04 [1.46]
Panel C: Average number of firms (n) and market capitalization (me)						
n	1373	489	516	582	770	
me (\$10 ⁶)	1080	1938	2560	3905	5768	

Table 2: Robustness to sorting methodology & trading costs

This table evaluates the robustness of the choices made in the CGM strategy construction methodology. In each panel, the first row shows results from a quintile, value-weighted sort using NYSE break points as employed in Table 1. Each of the subsequent rows deviates in one of the three choices at a time, and the choices are specified in the first three columns. For each strategy construction methodology, the table reports average excess returns and alphas with respect to the CAPM, Fama and French (1993) three-factor model, Fama and French (1993) three-factor model augmented with the Carhart (1997) momentum factor, Fama and French (2015) five-factor model, and the Fama and French (2015) five-factor model augmented with the Carhart (1997) momentum factor following Fama and French (2018). Panel A reports average returns and alphas with no adjustment for trading costs. Panel B reports net average returns and Novy-Marx and Velikov (2016) generalized alphas as prescribed by Detzel et al. (2022). T-statistics are in brackets. The sample period is 198806 to 202406.

Panel A: Gross Returns and Alphas								
Portfolios	Breaks	Weights	r^e	α_{CAPM}	α_{FF3}	α_{FF4}	α_{FF5}	α_{FF6}
Quintile	NYSE	VW	0.50 [3.17]	0.64 [4.06]	0.63 [5.19]	0.60 [4.88]	0.41 [3.75]	0.39 [3.51]
Quintile	NYSE	EW	0.37 [2.03]	0.51 [2.83]	0.43 [2.76]	0.31 [1.98]	0.15 [1.00]	0.05 [0.32]
Quintile	Name	VW	0.50 [2.03]	0.85 [3.67]	0.71 [4.21]	0.68 [3.95]	0.26 [1.76]	0.25 [1.67]
Quintile	Cap	VW	0.45 [3.03]	0.32 [2.19]	0.39 [3.24]	0.42 [3.40]	0.53 [4.63]	0.53 [4.60]
Decile	NYSE	VW	0.59 [3.05]	0.78 [4.16]	0.72 [4.82]	0.70 [4.63]	0.51 [3.69]	0.49 [3.54]
Panel B: Net Returns and Novy-Marx and Velikov (2016) generalized alphas								
Portfolios	Breaks	Weights	r_{net}^e	α_{CAPM}^*	α_{FF3}^*	α_{FF4}^*	α_{FF5}^*	α_{FF6}^*
Quintile	NYSE	VW	0.48 [3.01]	0.60 [3.85]	0.57 [4.76]	0.56 [4.60]	0.40 [3.71]	0.39 [3.55]
Quintile	NYSE	EW	0.20 [1.10]	0.33 [1.78]	0.26 [1.59]	0.19 [1.17]		
Quintile	Name	VW	0.47 [1.88]	0.82 [3.53]	0.67 [3.94]	0.65 [3.80]	0.27 [1.84]	0.26 [1.77]
Quintile	Cap	VW	0.43 [2.91]	0.28 [1.95]	0.34 [2.83]	0.36 [2.97]	0.47 [4.15]	0.48 [4.16]
Decile	NYSE	VW	0.55 [2.86]	0.75 [3.98]	0.67 [4.49]	0.66 [4.40]	0.48 [3.49]	0.47 [3.41]

Table 3: Conditional sort on size and CGM

This table presents results for conditional double sorts on size and CGM. In each month, stocks are first sorted into quintiles based on size using NYSE breakpoints. Then, within each size quintile, stocks are further sorted based on CGM. Finally, they are grouped into twenty-five portfolios based on the intersection of the two sorts. Panel A presents the average returns to the 25 portfolios, as well as strategies that go long stocks with high CGM and short stocks with low CGM. Panel B documents the average number of firms and the average firm size for each portfolio. The sample period is 198806 to 202406.

Panel A: portfolio average returns and time-series regression results												
Size quintiles	CGM Quintiles					CGM Strategies						
		(L)	(2)	(3)	(4)	(H)	r^e	α_{CAPM}	α_{FF3}	α_{FF4}	α_{FF5}	α_{FF6}
	(1)	0.05 [0.11]	0.56 [1.41]	0.89 [2.84]	1.01 [3.36]	0.93 [3.17]	0.88 [3.35]	1.08 [4.19]	0.90 [4.20]	0.85 [3.92]	0.47 [2.44]	0.43 [2.24]
	(2)	0.32 [0.78]	0.64 [2.16]	0.92 [3.39]	0.87 [3.18]	0.91 [3.31]	0.59 [2.69]	0.89 [4.31]	0.74 [4.39]	0.67 [3.90]	0.31 [2.11]	0.26 [1.75]
	(3)	0.38 [1.10]	0.79 [3.13]	0.82 [3.17]	0.92 [3.53]	0.94 [3.36]	0.56 [3.41]	0.74 [4.61]	0.69 [4.44]	0.59 [3.80]	0.41 [2.82]	0.34 [2.32]
	(4)	0.56 [1.92]	0.89 [3.92]	0.75 [3.03]	0.86 [3.65]	0.98 [3.63]	0.43 [3.03]	0.47 [3.28]	0.49 [3.43]	0.42 [2.90]	0.40 [2.77]	0.33 [2.33]
	(5)	0.44 [2.10]	0.70 [3.61]	0.66 [3.41]	0.92 [4.36]	0.98 [3.67]	0.54 [3.09]	0.34 [2.01]	0.44 [3.00]	0.46 [3.12]	0.59 [4.14]	0.59 [4.10]
Panel B: Portfolio average number of firms and market capitalization												
Size quintiles	CGM Quintiles					CGM Quintiles						
		Average n					Average market capitalization (\$10 ⁶)					
		(L)	(2)	(3)	(4)	(H)	(L)	(2)	(3)	(4)	(H)	
	(1)	399	401	408	413	412	37	34	43	54	58	
	(2)	123	123	124	123	123	79	83	86	86	87	
	(3)	83	84	84	83	83	139	145	147	148	147	
	(4)	70	70	70	70	70	305	320	317	326	329	
(5)	62	62	62	62	62	1774	2119	2410	3265	2713		

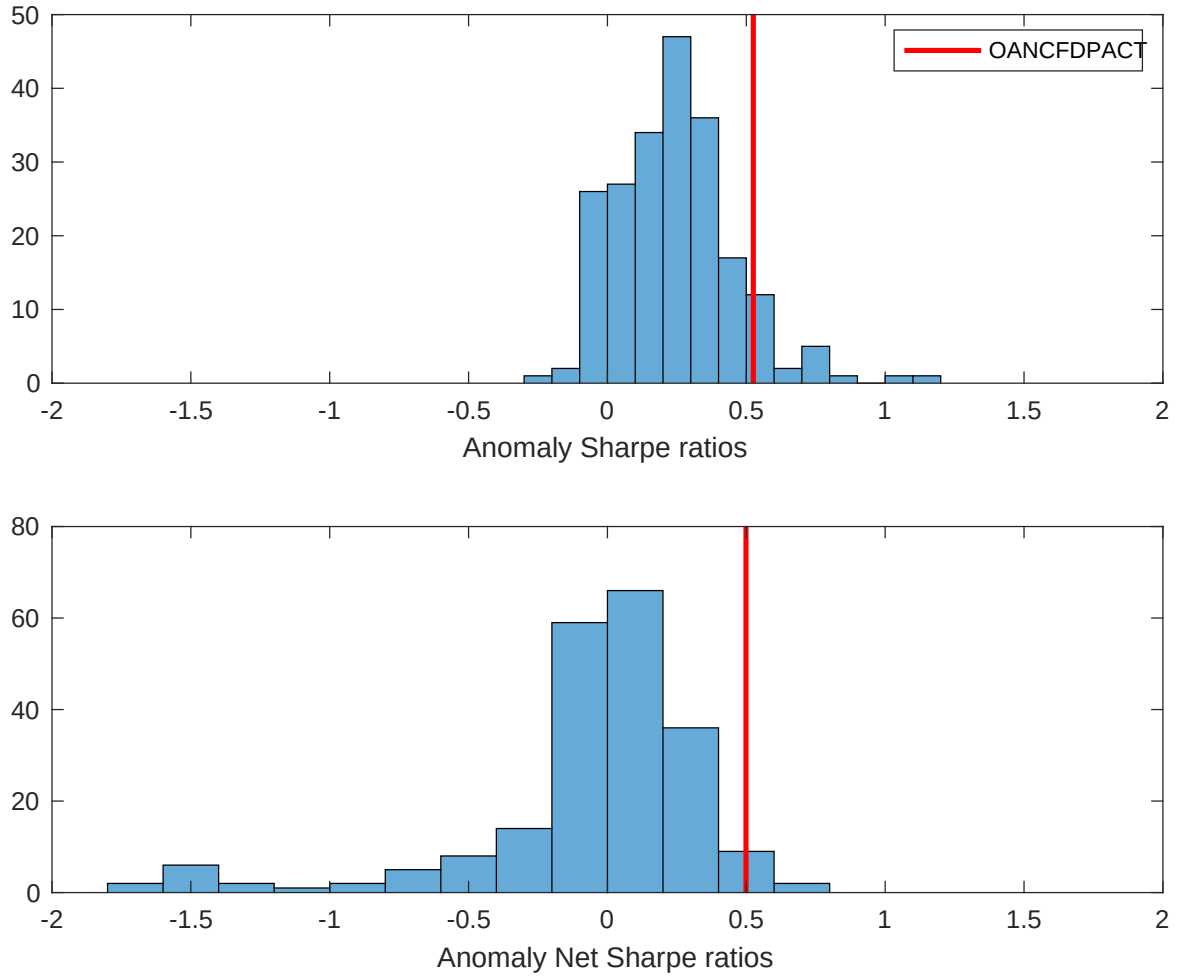


Figure 2: Distribution of Sharpe ratios.

This figure plots a histogram of Sharpe ratios for 212 anomalies, and compares the Sharpe ratio of the CGM with them (red vertical line). Panel A plots results for gross Sharpe ratios. Panel B plots results for net Sharpe ratios.

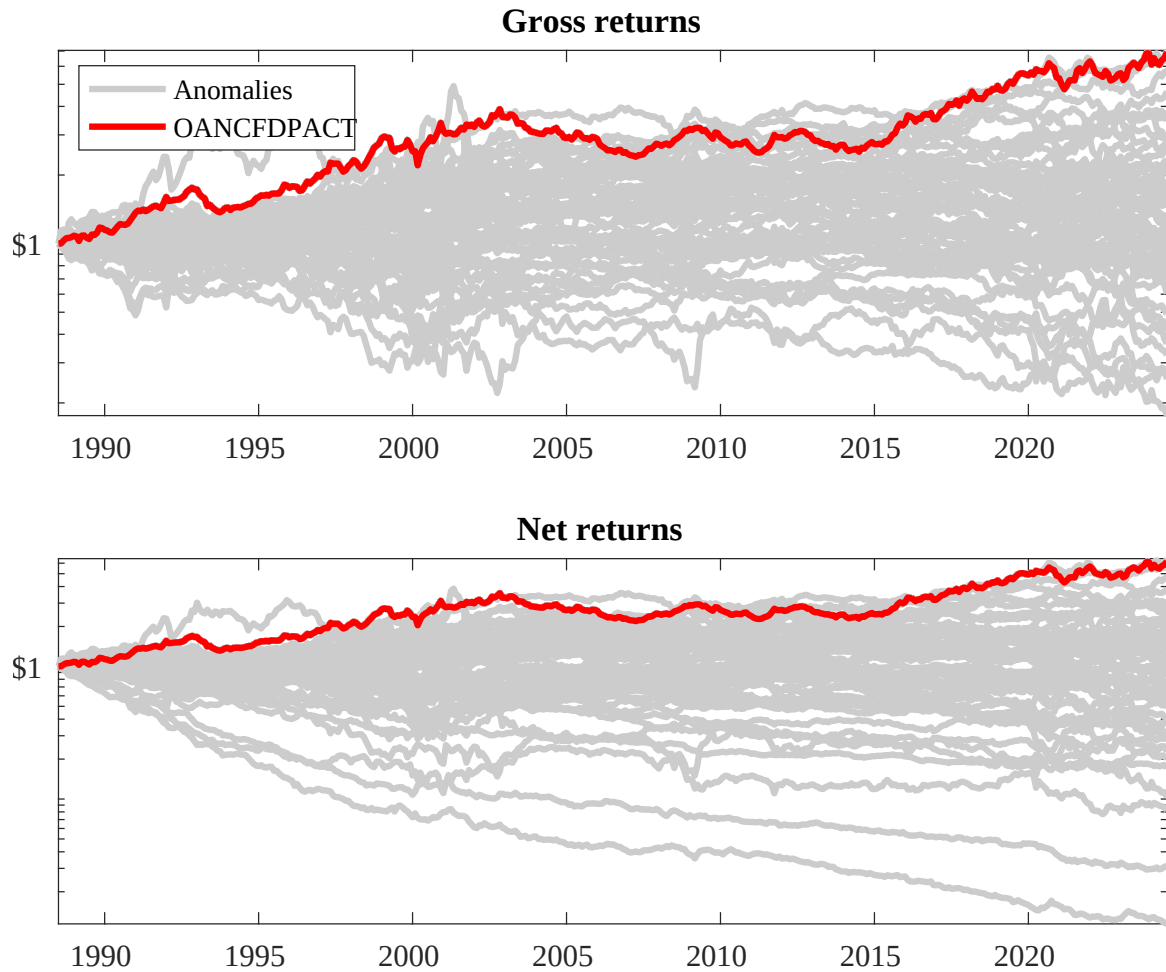
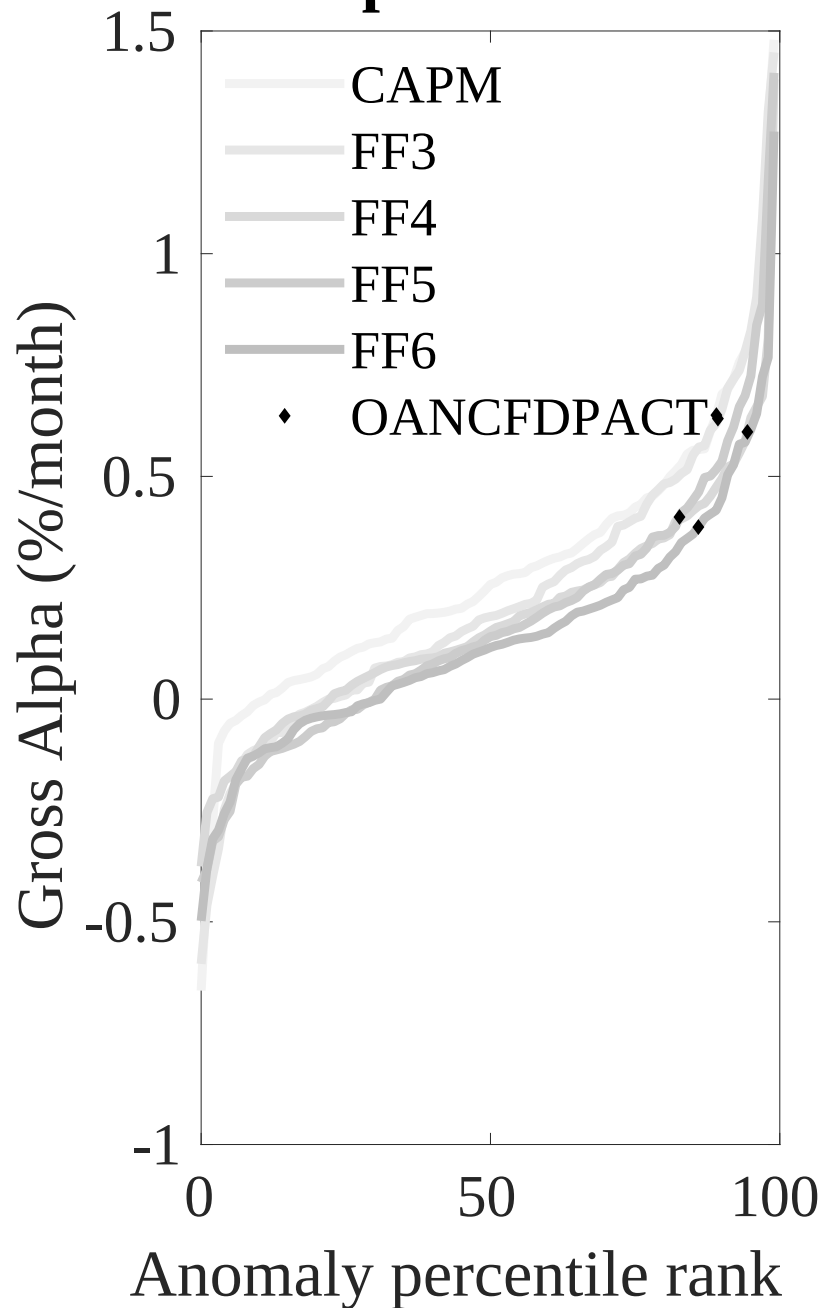


Figure 3: Dollar invested.

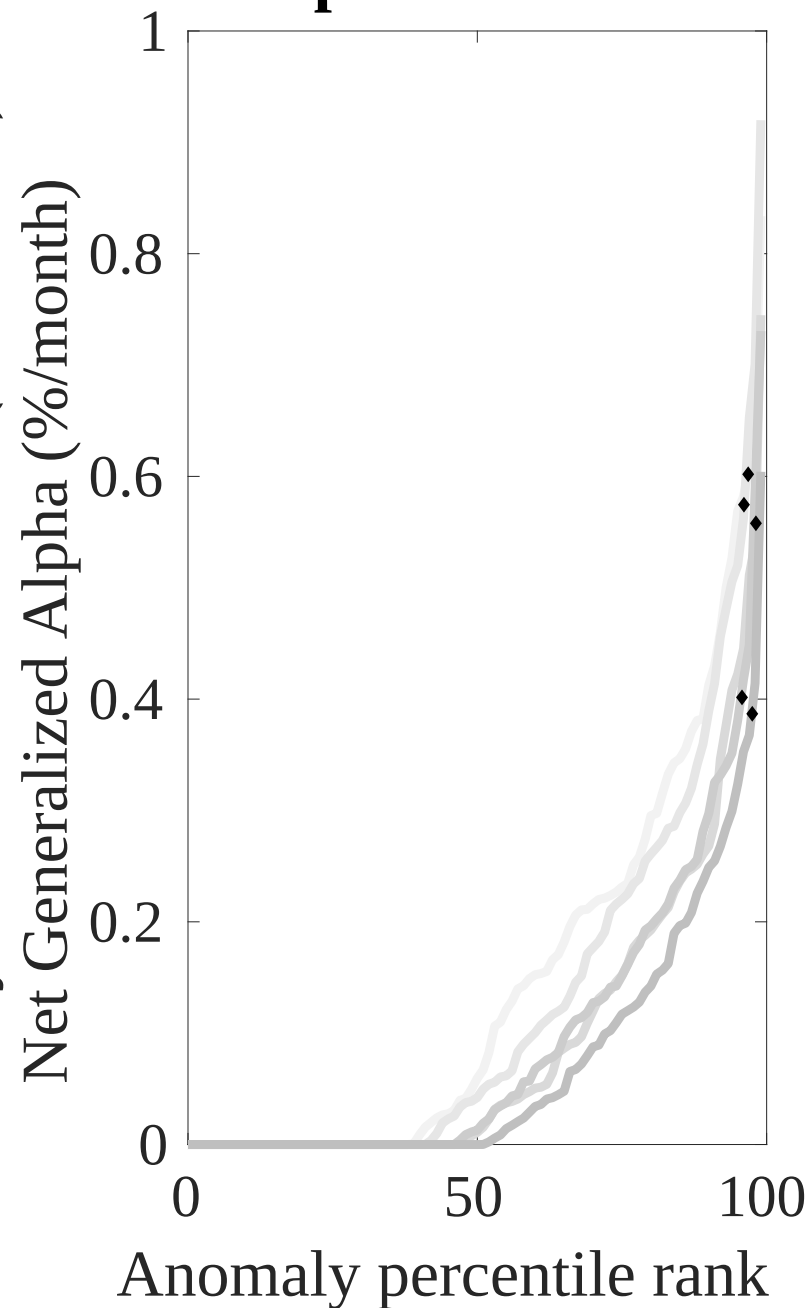
This figure plots the growth of a \$1 invested in 212 anomaly trading strategies (gray lines), and compares those with the CGM trading strategy (red line). The strategies are constructed using value-weighted quintile sorts using NYSE breakpoints. Panel A plots results for gross strategy returns. Panel B plots results for net strategy returns.

Gross Alpha Percentiles



Novy-Marx and Velikov (RFS, 2016)

Net Alpha Percentiles



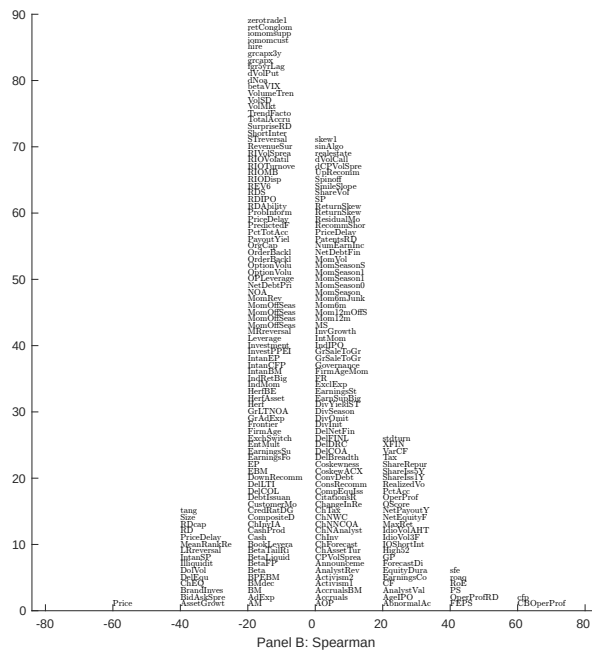
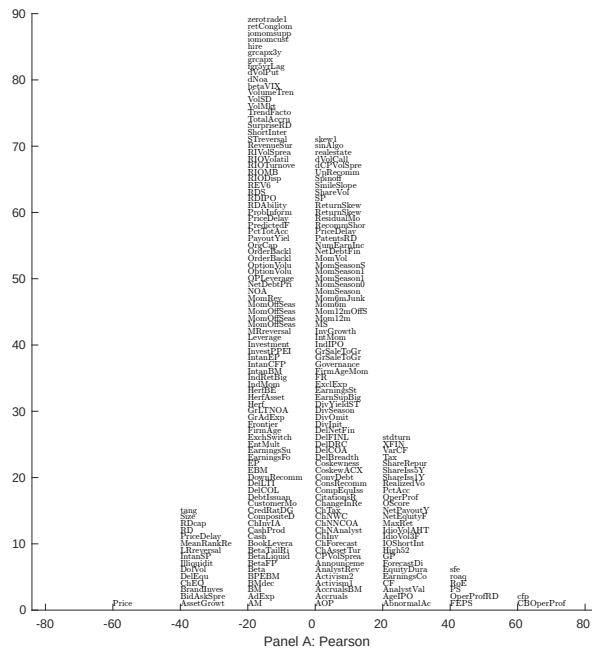


Figure 5: Distribution of correlations.

This figure plots a name histogram of correlations of 210 filtered anomaly signals with CGM. The correlations are pooled. Panel A plots Pearson correlations, while Panel B plots Spearman rank correlations.

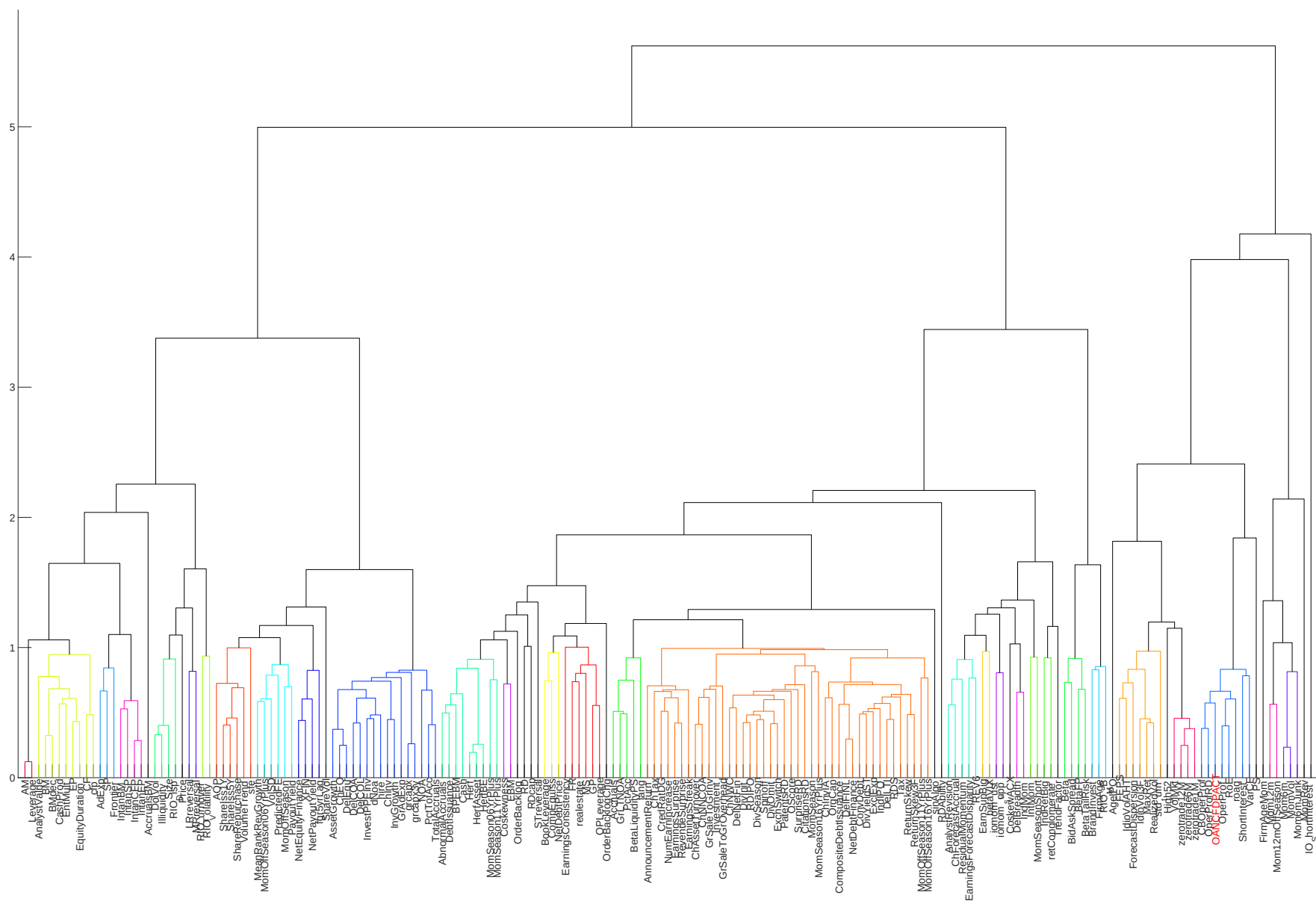


Figure 6: Agglomerative hierarchical cluster plot

This figure plots an agglomerative hierarchical cluster plot using Ward's minimum method and a maximum of 10 clusters.

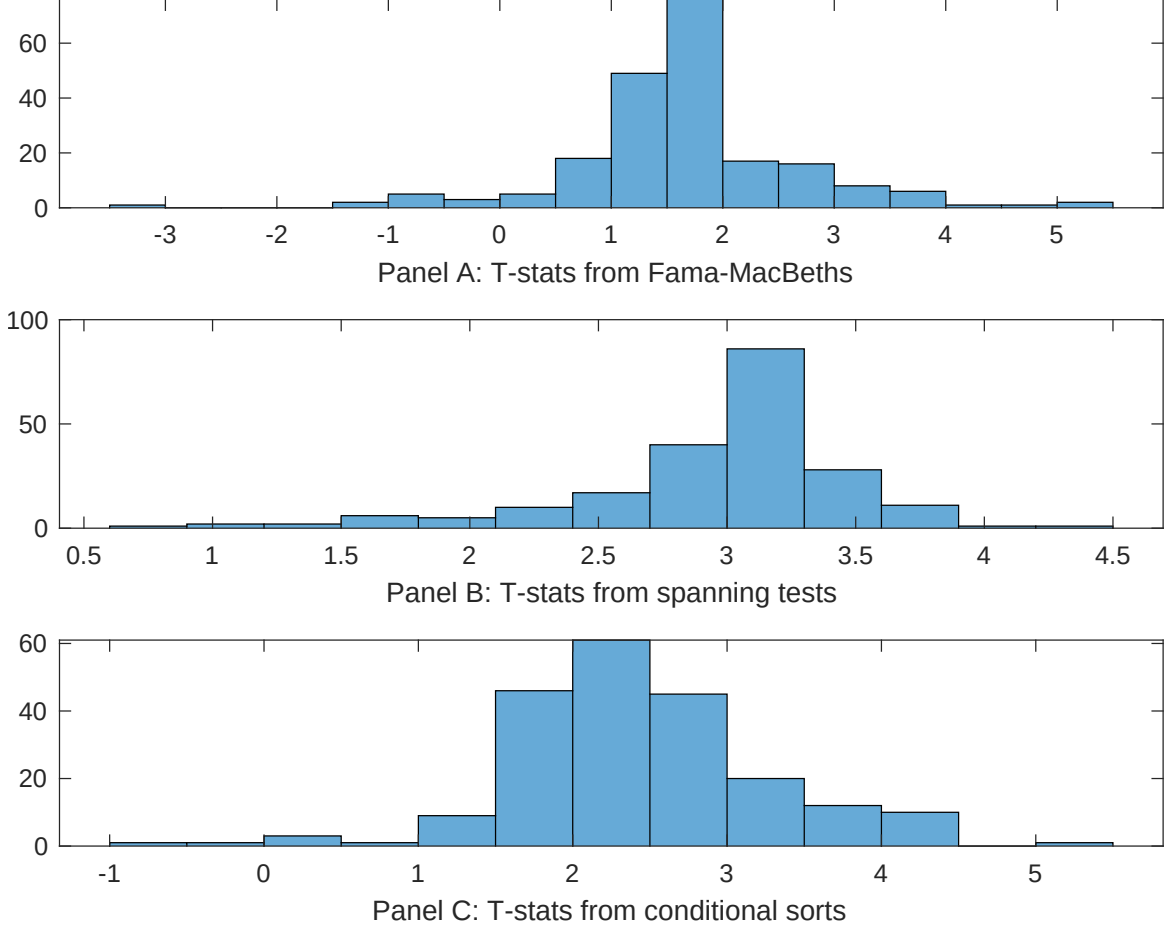


Figure 7: Distribution of t-stats on conditioning strategies

This figure plots histograms of t-statistics for predictability tests of CGM conditioning on each of the 210 filtered anomaly signals one at a time. Panel A reports t-statistics on β_{CGM} from Fama-MacBeth regressions of the form $r_{i,t} = \alpha + \beta_{CGM}CGM_{i,t} + \beta_X X_{i,t} + \epsilon_{i,t}$, where X stands for one of the 210 filtered anomaly signals at a time. Panel B plots t-statistics on α from spanning tests of the form: $r_{CGM,t} = \alpha + \beta r_{X,t} + \epsilon_t$, where $r_{X,t}$ stands for the returns to one of the 210 filtered anomaly trading strategies at a time. The strategies employed in the spanning tests are constructed using quintile sorts, value-weighting, and NYSE breakpoints. Panel C plots t-statistics on the average returns to strategies constructed by conditional double sorts. In each month, we sort stocks into quintiles based one of the 210 filtered anomaly signals at a time. Then, within each quintile, we sort stocks into quintiles based on CGM. Stocks are finally grouped into five CGM portfolios by combining stocks within each anomaly sorting portfolio. The panel plots the t-statistics on the average returns of these conditional double-sorted CGM trading strategies conditioned on each of the 210 filtered anomalies.

Table 4: Fama-MacBeths controlling for most closely related anomalies

This table presents Fama-MacBeth results of returns on CGM. and the six most closely related anomalies. The regressions take the following form: $r_{i,t} = \alpha + \beta_{CGM}CGM_{i,t} + \sum_{k=1}^s \beta_{X_k} X_{i,t}^k + \epsilon_{i,t}$. The six most closely related anomalies, X , are Cash-based operating profitability, Operating profitability RD adjusted, net income / book equity, Return on assets (qtrly), Cash-flow to price variance, Analyst earnings per share. These anomalies were picked as those with the highest combined rank where the ranks are based on the absolute value of the Spearman correlations in Panel B of Figure 5 and the R^2 from the spanning tests in Figure 7, Panel B. The sample period is 198806 to 202406.

Intercept	0.94 [2.98]	0.91 [2.74]	0.11 [3.72]	0.12 [4.09]	0.12 [4.15]	0.93 [2.70]	0.85 [2.66]
CGM	-0.63 [-0.70]	0.87 [1.26]	0.17 [1.85]	0.54 [0.96]	0.18 [1.67]	0.26 [3.43]	0.24 [0.22]
Anomaly 1	0.20 [5.03]						0.15 [2.97]
Anomaly 2		0.17 [3.58]					0.30 [0.50]
Anomaly 3			0.56 [0.95]				-0.40 [-0.48]
Anomaly 4				0.44 [2.82]			0.24 [1.68]
Anomaly 5					0.12 [0.54]		0.31 [1.27]
Anomaly 6						0.40 [0.58]	-0.28 [-0.53]
# months	427	427	432	427	427	427	427
$\bar{R}^2(\%)$	1	1	1	1	1	2	0

Table 5: Spanning tests controlling for most closely related anomalies

This table presents spanning tests results of regressing returns to the CGM trading strategy on trading strategies exploiting the six most closely related anomalies. The regressions take the following form: $r_t^{CGM} = \alpha + \sum_{k=1}^6 \beta_{X_k} r_t^{X_k} + \sum_{j=1}^6 \beta_{f_j} r_t^{f_j} + \epsilon_t$, where X_k indicates each of the six most-closely related anomalies and f_j indicates the six factors from the [Fama and French \(2015\)](#) five-factor model augmented with the [Carhart \(1997\)](#) momentum factor. The six most closely related anomalies, X , are Cash-based operating profitability, Operating profitability RD adjusted, net income / book equity, Return on assets (qtrly), Cash-flow to price variance, Analyst earnings per share. These anomalies were picked as those with the highest combined rank where the ranks are based on the absolute value of the Spearman correlations in Panel B of Figure 5 and the R^2 from the spanning tests in Figure 7, Panel B. The sample period is 198806 to 202406.

Intercept	0.21 [2.07]	0.22 [2.07]	0.36 [3.36]	0.33 [3.03]	0.34 [3.32]	0.37 [3.32]	0.19 [2.03]
Anomaly 1	45.59 [10.48]						32.75 [5.31]
Anomaly 2		35.25 [8.30]					5.46 [0.87]
Anomaly 3			35.50 [5.48]				8.87 [1.35]
Anomaly 4				23.91 [5.01]			11.28 [2.41]
Anomaly 5					31.12 [7.79]		21.51 [5.59]
Anomaly 6						2.66 [0.63]	-10.73 [-2.67]
mkt	0.02 [0.01]	1.87 [0.71]	1.12 [0.40]	-0.34 [-0.12]	4.90 [1.75]	-3.13 [-1.08]	6.25 [2.36]
smb	-32.62 [-8.88]	-34.21 [-8.92]	-32.61 [-7.51]	-38.84 [-9.81]	-23.46 [-5.20]	-42.01 [-8.93]	-21.72 [-4.73]
hml	-2.73 [-0.59]	-6.09 [-1.27]	-17.13 [-3.64]	-12.68 [-2.57]	-6.67 [-1.38]	-20.94 [-4.31]	10.36 [2.13]
rmw	35.95 [7.26]	32.86 [5.88]	27.80 [3.75]	37.22 [5.72]	44.23 [8.79]	55.99 [8.22]	22.10 [3.06]
cma	-27.66 [-4.39]	-20.82 [-3.20]	-14.99 [-2.21]	-20.26 [-2.97]	-9.05 [-1.36]	-19.69 [-2.76]	-15.09 [-2.40]
umd	-0.08 [-0.04]	-0.88 [-0.38]	1.73 [0.73]	-2.38 [-0.89]	-2.22 [-0.92]	3.17 [1.22]	-4.89 [-2.02]
# months	428	428	432	428	428	428	428
$\bar{R}^2(\%)$	66	63	60	59	62	57	69

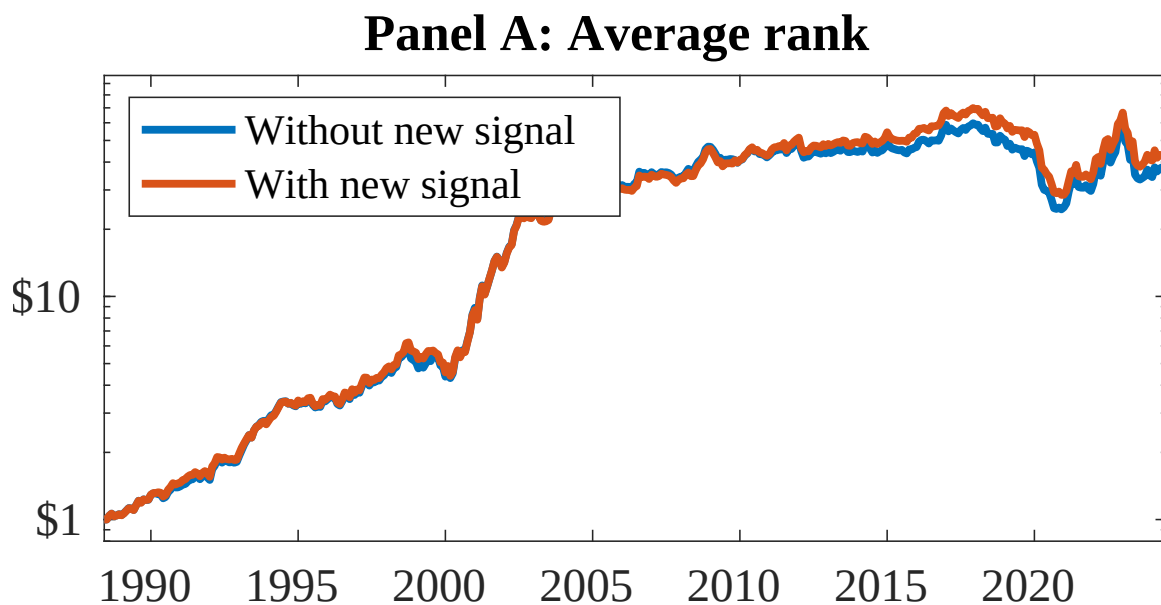


Figure 8: Combination strategy performance

This figure plots the growth of a \$1 invested in trading strategies that combine multiple anomalies following [Chen and Velikov \(2022\)](#). In all panels, the blue solid lines indicate combination trading strategies that utilize 158 anomalies. The red solid lines indicate combination trading strategies that utilize the 158 anomalies as well as CGM. Panel A shows results using "Average rank" as the combination method. See [Section 7](#) for details on the combination methods.

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